

CME September Trading Challenge 2026

1. Competition Overview

Item	Details
Competition	CME Group Trading Challenge - September 2026
Period	2026.09.13 17:00 CT - 2026.09.18 12:00 CT
Simulation Account	Started with \$25,000 in virtual capital
Trading Universe	CME futures across equity indices, energy, FX, rates, metals, agriculture, and micro contracts
Competition Feature	Special focus on FX futures. Related education was part of prize eligibility; FX trading itself was not mandatory.
Instruments in Trade Log	CLV26 (WTI Crude Oil), MNQZ26 (Micro E-mini Nasdaq-100)

Net P&L

\$-63

sum of closed episodes

Closed Episodes

25

32 raw P&L rows grouped by close time

Win Rate

60.0%

15 wins / 10 losses

Max Drawdown

\$710

closed P&L sequence basis

2. Market Context

2.1 Market Environment

The competition week included consecutive central-bank decisions and elevated event risk. On September 16, the U.S. FOMC raised the federal funds target range by 25 bp to 3.75%-4.00%. The following day, the Bank of England held Bank Rate at 3.75% in a 6-3 vote, with three members preferring a 25 bp increase. This created a market environment in which rate repricing could quickly transmit into equity-index and FX futures.

2.2 Key Events

Date	Event	Confirmed Outcome	Relevant Market / Factor
09/16	U.S. FOMC	+25 bp, target range 3.75%-4.00%	U.S. rates / USD / Nasdaq
09/17	Bank of England MPC	Bank Rate held at 3.75%, 6-3 vote	UK 2Y / GBP / FX futures
09/18	Late competition session	Trade log concentrated in MNQ	MNQ intraday execution

3. Initial Thesis & Strategy

Pre-Event Event-Driven Thesis

For central-bank events, the first step is not to trade the headline itself but to assess the gap between market expectations and the actual policy path. Execution becomes a candidate only when front-end rates and FX price action confirm the same interpretation.

4. Strategy Architecture



5. Instrument & Factor Framework / 6. Risk Management

5. Instrument & Factor Framework

Instrument	Role	Primary Observation Framework	Contract Risk Characteristic
CLV26	Traded	Crude-oil price action + macro / supply shocks	1,000 barrels; \$0.01 minimum move = \$10/tick
MNQZ26	Traded	Nasdaq intraday direction + rates / macro repricing	\$2 x Nasdaq-100 index point
M6B / 6B	Pre-BoE candidate	BoE policy path -> UK 2Y -> GBP confirmation	Manual prioritized M6B for finer position sizing

6. Risk Management Framework

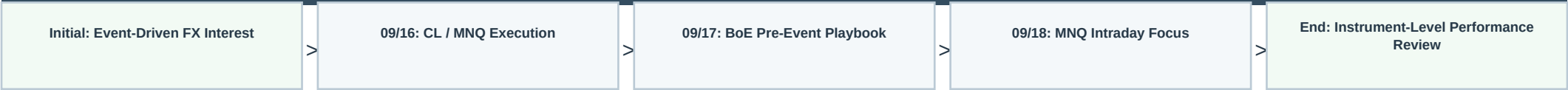
Area	Pre-Trade Plan / Observation	Review Point
BoE Event	Normal risk \$100-\$125; A+ max \$175-\$190	No first-spike chasing, averaging down, or duplicate factor exposure
M6B Sizing	Base 1 contract; cap 2 contracts	Use the smaller contract to control event risk more precisely
Actual CL	1 contract; largest loss -\$500	Dollar-risk calibration matters more than contract count
Actual MNQ	Closing quantity observed from 1 to 4 contracts	Size and stop distance must be assessed together with the multiplier

7. Competition Diary

7.1 Daily Record

Date	Actual Activity	P&L	Process Interpretation
09/16	4 CL closed episodes + 1 MNQ episode	-\$597	CL: -\$500, -\$120, -\$90, then +\$160 recovery; MNQ -\$47. Losses were concentrated early.
09/17	BoE playbook prepared / observed	No closed P&L	Policy-path surprise -> UK 2Y -> GBP confirmation -> pullback execution. No GBP futures close appears in the trade log.
09/18	20 MNQ closed episodes	+\$534	MNQ intraday execution concentrated late in the competition and recovered a large portion of the prior loss.

7.2 Strategy Changes

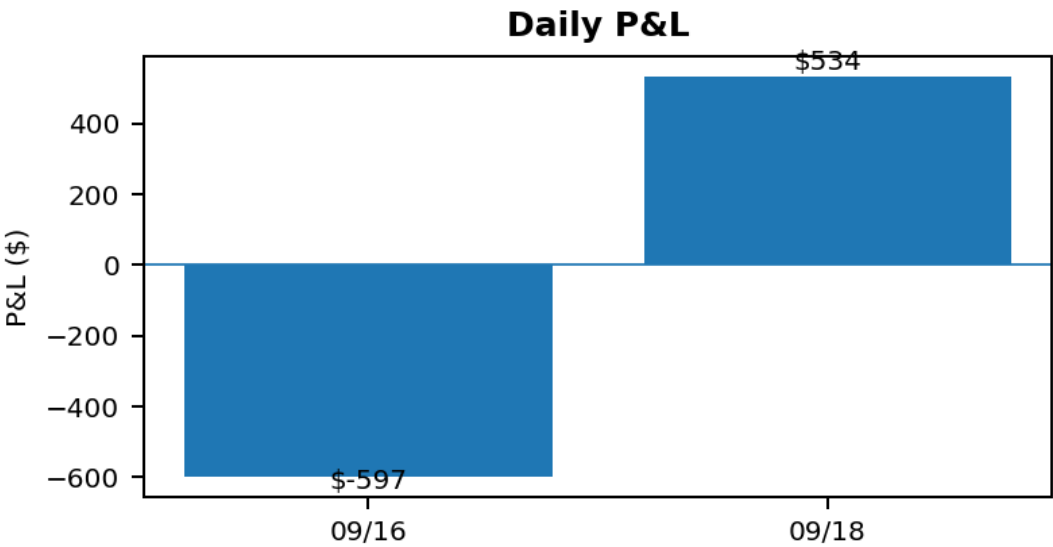


8. Trading Activity

8.1 Trade Log Summary

Raw Rows 64 Open + Close	Raw P&L Rows 32 rows with P&L	Closed Episodes 25 same-time split closes grouped	CL Episodes 4 total P&L -\$550	MNQ Episodes 21 total P&L +\$487
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8.2 Activity by Trading Day



Date	Closed Episodes	Net P&L
09/16	5	-\$597
09/18	20	+\$534

9. Performance Analysis I

9.1 Summary Metrics

Net P&L

\$-63

Win Rate

60.0%

15 wins / 10 losses

Profit Factor

0.95

gross profit / gross loss

Max Drawdown

\$710

Average Win

\$86

winning episode

Average Loss

-\$135.3

losing episode

Largest Win

\$440

MNQ split-close episode

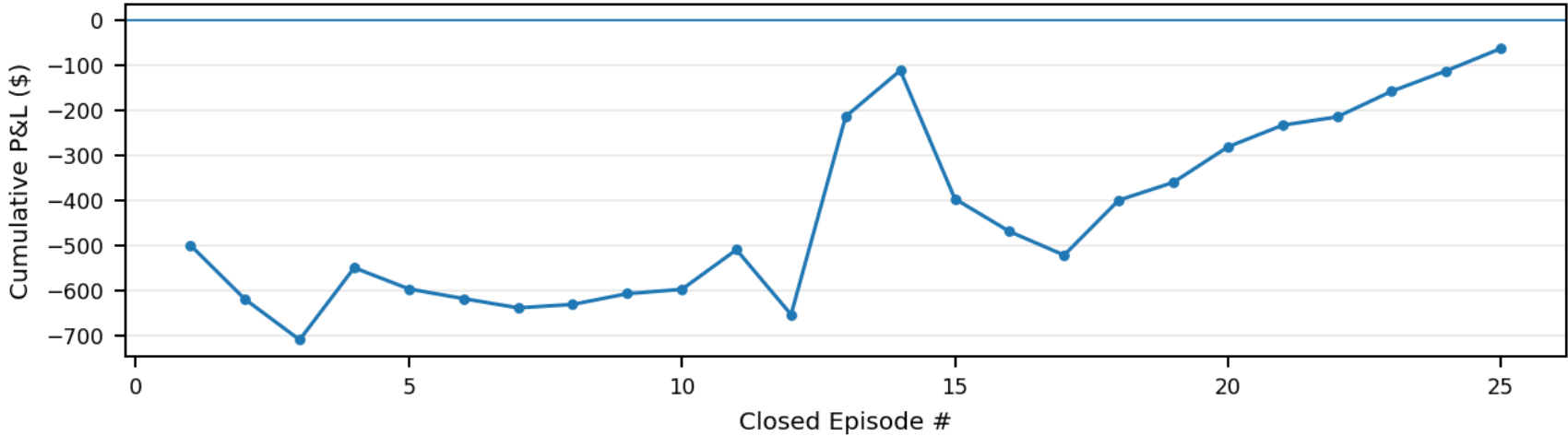
Largest Loss

-\$500

CL close episode

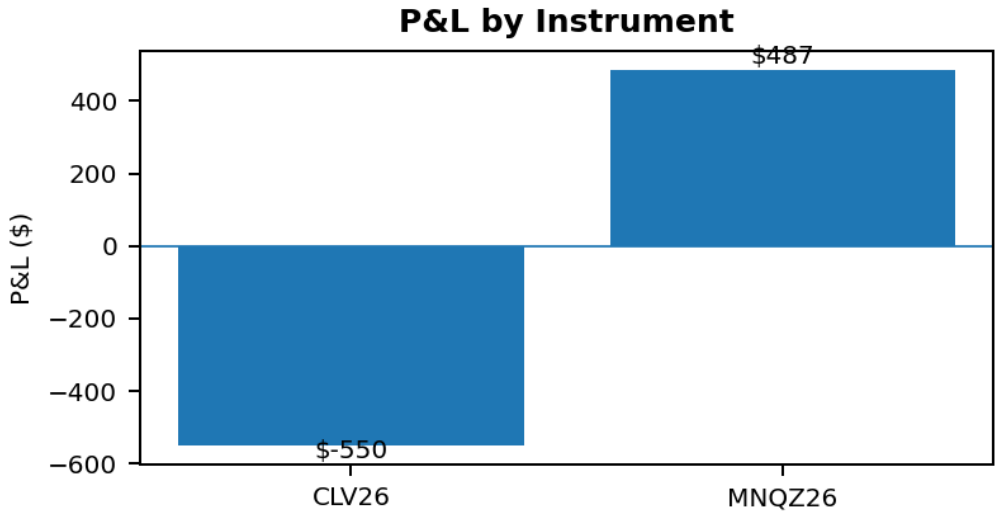
9.2 Cumulative P&L

Cumulative P&L by Closed Episode



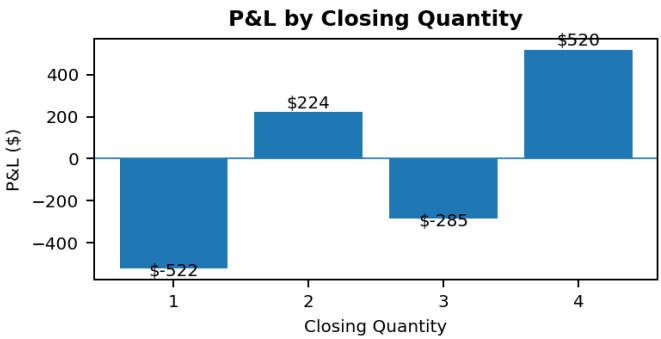
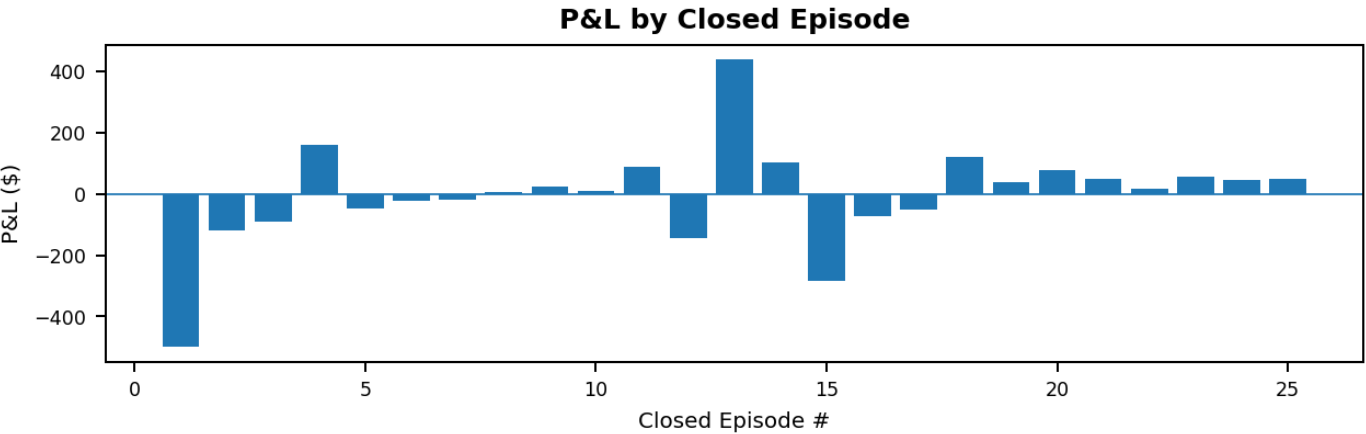
9. Performance Analysis II

9.3 P&L by Instrument



Instrument	Episodes	Net P&L	Comment
CLV26	4	-\$550	Losses concentrated early
MNQZ26	21	+\$487	Recovered most of the CL loss

9.4 P&L by Closed Episode



10. Performance & Process Attribution

10.1 Performance Attribution

Driver	Observed Result	Interpretation
Instrument Selection	CL -\$550 / MNQ +\$487	The largest decomposition of total performance. The final -\$63 masks the underlying instrument split.
Loss Concentration	Largest loss -\$500; max drawdown -\$710	Large early losses outweighed the later accumulation of smaller gains.
Recovery Window	09/18 MNQ +\$534	Late-competition MNQ execution recovered most of the overall loss.
Payoff Structure	Avg win +\$86 / avg loss -\$135.3	A 60% win rate was not enough to generate profit because average losses were larger; PF = 0.95.

10.2 Process Review

Review Area	Question	What the Competition Shows
Thesis	Was there an event/price thesis before entry?	BoE had a documented scenario map and confirmation rule. The raw CL/MNQ log does not preserve enough thesis detail.
Confirmation	Did factor and price confirm the same direction?	BoE required UK 2Y + GBP alignment. No factor snapshot exists in the CL/MNQ trade log.
Entry	Were first-spike chasing / re-entry rules followed?	Cannot be determined from fills alone. Future diary should preserve entry rationale.
Sizing	Was dollar risk stable rather than contract count?	A single CL contract produced a -\$500 loss. Multipliers must be incorporated directly into the risk budget.
Exit	Was Price / Factor / Time stop recorded?	Present in the BoE plan, but stop reason was not captured in the executed-trade log.

11. Trade Case Studies & Failure Analysis

CASE 1 | Largest CL Loss

09/16 | -\$500 | 1 contract

Largest single closed-episode loss. CL then added -\$120 and -\$90 before a +\$160 recovery.

Review / Lesson

Lesson: One contract can still carry large dollar risk in CL. Set instrument-specific loss limits on a common dollar-risk basis.

CASE 2 | CL Recovery Trade

09/16 | +\$160 | 1 contract

The only positive CL closed episode in the sequence, but it was too small to offset the earlier losses.

Review / Lesson

Lesson: The success of a recovery trade matters less than controlling the losses that precede it.

CASE 3 | Largest MNQ Loss

09/18 | -\$285 | closing quantity 3

Largest MNQ losing episode. The same day also included a +\$440 episode, indicating a high-volatility execution window.

Review / Lesson

Lesson: If size is increased without reducing stop distance, dollar loss can expand disproportionately.

CASE 4 | MNQ Recovery Sequence

09/18 | daily +\$534

Twenty MNQ closed episodes recovered a large portion of the losses created during the initial CL sequence.

Review / Lesson

Lesson: Repeated execution in the better-performing instrument helped, but the early large loss still left final P&L at -\$63.

12. Final Review

12.1 What Worked

- Built a pre-event BoE framework linking expectations, surprise, front-end rates, and GBP confirmation.
- Used contract size as part of risk design by prioritizing M6B for event-driven execution.
- Recovered +\$534 through MNQ on 09/18 after the initial losses.
- Separated performance by instrument instead of relying only on overall win rate.

12.2 What Needs Improvement

- Early CL losses were concentrated and drove maximum drawdown to -\$710.
- Average loss (-\$135.3) exceeded average win (+\$86), so a 60% win rate did not translate into positive P&L.
- The raw CL/MNQ log does not preserve thesis, factor snapshot, or stop reason, limiting process attribution.
- Contract-count comparisons can distort risk when instruments have different multipliers.

12.3 Key Takeaways

- Loss distribution and control of a single large loss mattered more than win rate.
- Instrument selection was a central performance-attribution driver.
- For event-driven trades, confirmation rules are more useful than prediction alone.
- Future logs should capture Thesis / Factor / Entry / Stop / Size / Exit Reason for every trade.